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China Equity Strategy | Asia Pacific

A-share Sentiment Edged Down on Lower Volume Turnover; Still Prefer HK

MSASI weakened further as turnover contracted amid the liquidity overhang from CXMT IPO and further global AI trade pullback. We continue to prefer Hong Kong over A-shares tactically, supported by a more independent market cycle, greater resilience versus broader EM and improving fundamentals.

A-share investor sentiment decreased vs. the previous cycle: Weighted MSASI decreased by 5ppt vs. the prior cutoff date (July 22) to 32%. Weighted MSASI 1MMA also decreased by 4ppt over the same period at 53%. Turnover for ChiNext, A-share, equity futures turnover and margin transaction outstanding declined by 24% (to Rmb509bn), 21% (to Rmb2,107bn), 22% (to Rmb574bn) and 3% (to Rmb2,652bn), respectively. The 30-day RSI decreased by 4ppt over the same period (July 22-29). Consensus earnings estimate revision breadth remained negative, although it did improve marginally vs. last week.

Southbound net outflows – US\$2bn over July 23-29: MTD net inflows were US \$9.2bn and YTD net inflows were US\$4.7.7bn (47% of same period last year).

Note: As announced on July 26, 2024, by HKEX, Shanghai Stock Exchange and Shenzhen Stock Exchange, the publication of Northbound daily purchase and sales data was terminated as of August 19, 2024. Northbound daily buying and selling data were last made available on August 16, 2024.

The listing of CXMT, one of the largest IPOs in A-share history, **may tighten liquidity and increase near-term market volatility**. Meanwhile, the **July Politburo meeting** reinforced a "fine-tuning rather than stimulus" message, broadly in line with our **China Macro team's** expectations. Policymakers acknowledged rising growth challenges but focused on accelerating the rollout of the roughly Rmb2tn of remaining fiscal and quasi-fiscal support, rather than unveiling new stimulus measures. Policy priorities remain tilted toward hard tech ("AI+") and infrastructure ("Six Networks"), with limited incremental support for consumption and housing. Beijing's commitment to roll out additional "practical and effective" measures if needed keeps September-October as the key window for potential policy easing.

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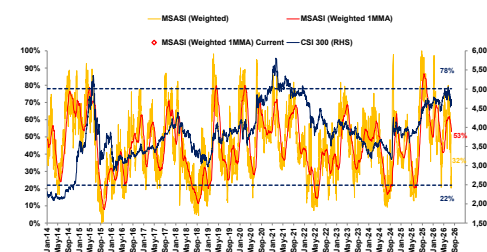
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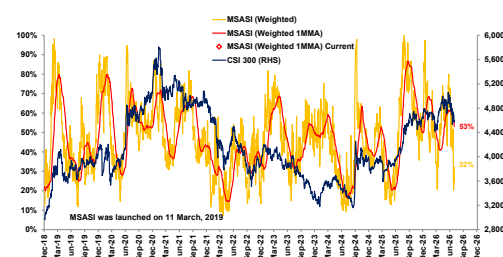


Exhibit 1 : MS A-share Sentiment Indicator: MSASI weighted and MSASI weighted 1MMA



Source: CEIC, Bloomberg, Wind, RIMES, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 2 : MSASI trajectory since January 1, 2019



Source: CEIC, Bloomberg, Wind, RIMES, MS Research. Data as of July 29, 2026.

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Overview (continued)

We continue to favor Hong Kong equities in the near term and expect recent outperformance to persist despite elevated global volatility. Key supporting factors include:

- **A more independent equity cycle.** Hong Kong has significantly lower exposure to the crowded global AI trade than A-shares, making it less sensitive to recent swings in global technology sentiment.
- **Greater resilience versus the broader EM complex.** Near-term global market volatility could lead to sustained liquidity tightness, which could weigh on other EM markets, while China/Hong Kong equities remain supported by relief from funding short unwinding and very low investor positioning.
- **Hong Kong's internal market dynamics are improving.**
 - 2Q results bottoming out vs. 1Q and 2025;
 - Liquidity stabilizing post earlier IPO unlocking supply side shock;
 - AI trade broadening out to data center/cloud services benefiting the Chinese hyperscalers that are listed in HK (not in the A-share market).

Over the longer term, however, we remain highly constructive on A-shares, particularly in technology and innovation sectors. We expect earnings growth in China's hard-tech industries to continue accelerating, supporting a recovery in market leadership and creating the foundation for new highs over the cycle. ([2Q26 Pre-Announcements: A-share Earnings Pressure Eased, While MSCI China Signals Strengthened](#))

Read more:

[China Market-Wise: Global Marketing Feedback – Rising Interest with Uncertain Timing \(1 Jul 2026\);](#)

[China Market-Wise: China Outperforming in a Volatile Market – What's Next? \(9 Jul 2026\)](#)

MSASI Methodology

Related report: [China Equity Strategy: Relaunching MSASI: A New Take on A-share Market Sentiment and Technical Signals \(27 Oct 2025\)](#)

Step 1: Normalizing sentiment metrics

The new MSASI is based on 12 individual indicators, each designed to capture a different dimension of investor sentiment and market activity.

To make these metrics comparable, each is re-scaled using a 100-day moving min-max normalization. This approach helps reduce noise from high-frequency movements and better reflects whether sentiment is improving or deteriorating over the medium term.

Normalization Formula:

$$\text{Normalized Value} = (\text{Latest Value} - \text{Min (Last 100 Days)}) / (\text{Max (Last 100 Days)} - \text{Min (Last 100 Days)})$$

Each normalized series is expressed on a 0-100 scale, where higher values indicate stronger or more active sentiment conditions.

The 12 metrics included are:

- 1. ChiNext Turnover:** Daily trading turnover on ChiNext, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 2. A-share Turnover:** Daily turnover of all A-shares, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 3. Equity Index Futures Turnover:** Daily turnover of equity index futures, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 4. Northbound Turnover:** Daily Stock Connect northbound trading turnover, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 5. Margin Financing Outstanding:** Total margin transaction balances, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).
- 6. New Accounts Registered with the Shanghai Stock Exchange:** Monthly number of new retail accounts registered with the Shanghai Exchange, normalized using the 100-day moving min-max method (available monthly).
- 7. 30-Day RSI (CSI 300):** Relative Strength Index over a 30-day period for CSI 300 (available daily; weekly closing values used).
- 8. Number of Limit-Up A-shares:** Daily count of stocks hitting the 10% upper price limit, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

9. CSI 300 Futures Backwardation: The percentage difference between CSI 300 futures and spot prices, calculated as $(\text{Futures Price} - \text{Spot Price}) / \text{Spot Price}$, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

10. CSI 300 Call-Put Ratio: Ratio of open interest in call options to put options, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

11. Foreign Passive Fund Flows to CSI 300 (1MMA): One-month moving average of daily flows from foreign-domiciled passive funds to CSI 300, normalized using the 100-day moving min-max method (available daily; weekly closing values used for analysis).

12. Earnings Estimate Revision Breadth (3MMA): Three-month moving average of the net proportion of upward earnings estimate revisions vs. downward earnings estimate revisions, based on the Shanghai A Index, normalized using the 100-day moving min-max method (available weekly).

This normalization process ensures that each indicator contributes proportionally, regardless of scale or data frequency, while highlighting directional shifts in sentiment over time.

Step 2: Constructing the Weighted Sentiment Indicator

Once normalized, each of the 12 series is assigned a weight based on its historical explanatory power relative to the CSI 300 Index.

Weights are determined by the R-squared values from a single-factor regression between the metric (relative to its 100-day moving min max) and the CSI 300 (relative to 100MA) performance.

This weighting method gives greater emphasis to indicators that have historically demonstrated stronger correlations with market movements, ensuring that the overall index reflects sentiment components most relevant to A-share performance.

Step 3: Constructing the MSASI (Weighted)

Using the weighted sentiment indicator derived in Step 2, we construct the MSASI (Weighted) as the composite measure of overall market sentiment.

This index is then re-scaled to a 0-100 range, based on its distance from historical high and low values since January 2024.

This scaling allows the indicator to reflect relative sentiment strength over time – where higher readings indicate stronger investor enthusiasm, and lower readings reflect weaker sentiment or risk aversion.

Step 4: Constructing the MSASI (Weighted 1MMA)

To highlight underlying trends and reduce short-term volatility, we apply a one-month moving average to the MSASI (Weighted). The resulting MSASI (Weighted 1MMA) smooths out high-frequency fluctuations, providing a clearer picture of medium-term sentiment dynamics and improving interpretability for tactical or strategic analysis.

Exhibit 3: Weighting of 12 indicators of MSASI, and R-squared of indicators vs. CSI 300 (relative to 100MA)

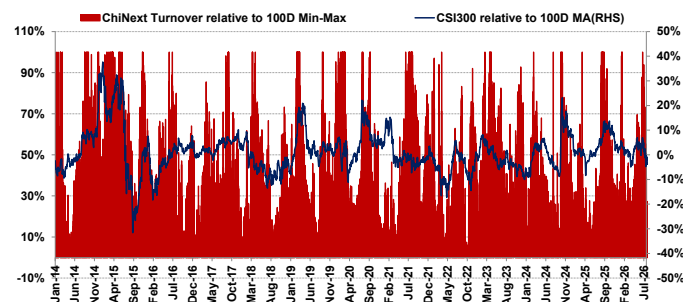
Indicator	R-sq vs. CSI 300 (relative to 100MA)	Weighting
ChiNext Turnover	12.6%	10%
A-share Turnover	19.7%	15%
Equity Futures Turnover	8.1%	6%
Northbound Turnover	7.6%	8%
Margin Transaction Outstanding	34.3%	15%
SHSE New accounts Registered	14.3%	3%
Earnings Revision Breadth (3MMA)	6.6%	8%
RSI-30D	49.0%	15%
No. of Limit Up A-share	4.6%	6%
CSI300 backwardation	3.9%	4%
CSI300 call put ratio	14.0%	6%
Foreign domiciled passive funds flows to CSI300 (1MMA)	0.5%	4%

Note: For SHSE new account registrations, although the R-squared with the CSI 300 is high, the data is available only on a monthly basis rather than daily or weekly, so we assign it a relatively lower weight. Similarly, for the CSI 300 call-put ratio, despite its high R-squared with the CSI 300, the data is only available from late 2019 onward, so we also assign it a relatively lower weight.
Source: CEIC, Wind, Rimes, EPFR, Bloomberg, Morgan Stanley Research.

Other items to keep in mind

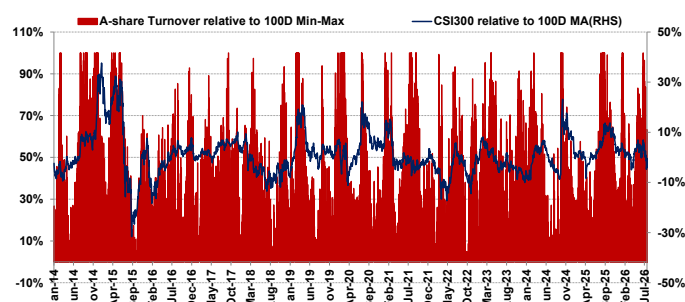
- The charts below show the scaled version of all these metrics as they are used in our MSASI compilation analysis.
- We use data from January 2014 to the present because some of the market-influencing factors were not fully developed before that, i.e., Stock Connect Northbound (program only launched in November 2014).
- Some metrics have gone through regime shifts owing to regulatory changes, i.e., index futures trading, which became heavily regulated as part of market stabilization measures during the 2015 correction. We try to accommodate/normalize, such shifts by looking at relative level to moving 100 days min-max level rather than absolute volume/value.

Exhibit 4: ChiNext turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



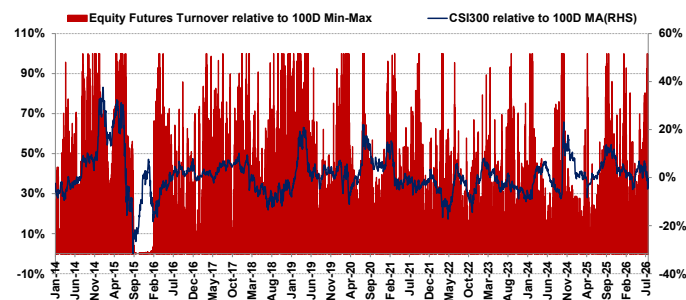
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 5: A-share turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



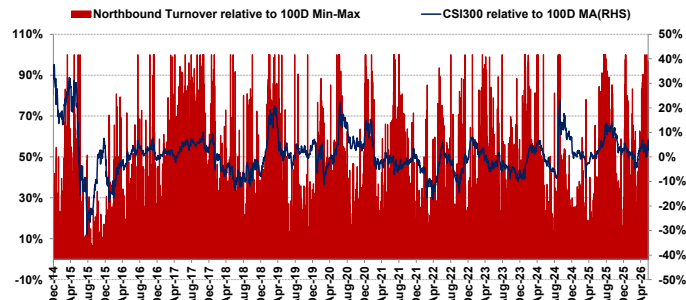
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 6: Equity futures turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



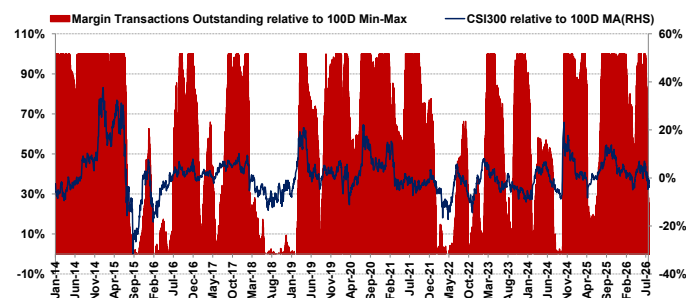
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 7: Northbound turnover adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



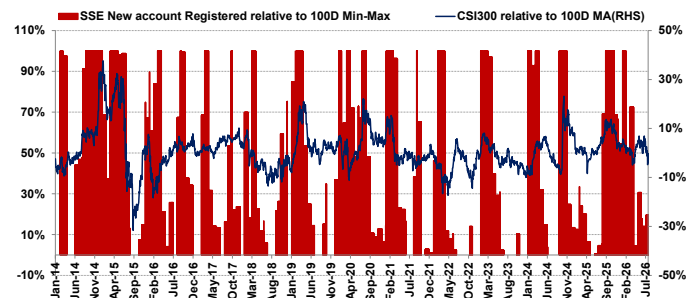
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 8: Margin transactions adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



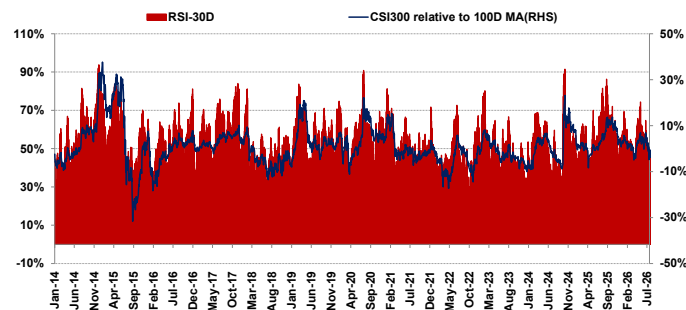
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 9: SSE new accounts adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



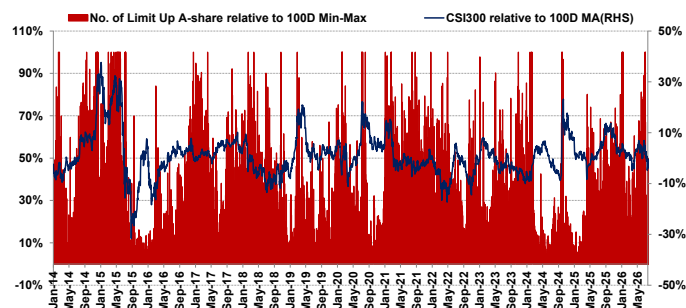
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 10: RSI-30D since January 2014 vs. CSI 300 relative to 100D MA



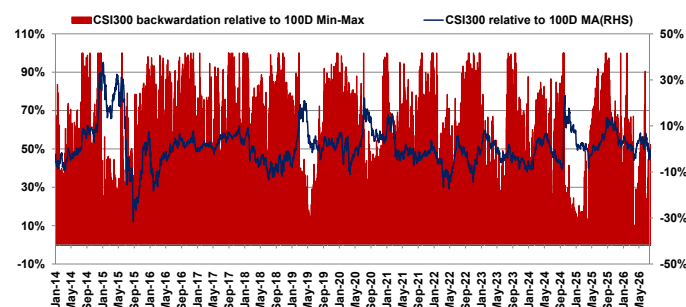
Source: CEIC, Bloomberg, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 11: Number of limit-up A-shares adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



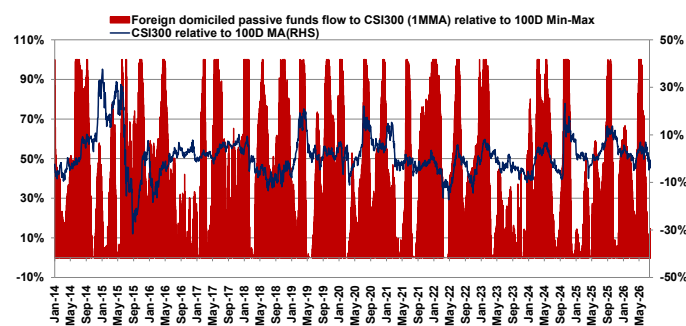
Source: CEIC, Wind, Bloomberg, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 12: CSI 300 future backwardation adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



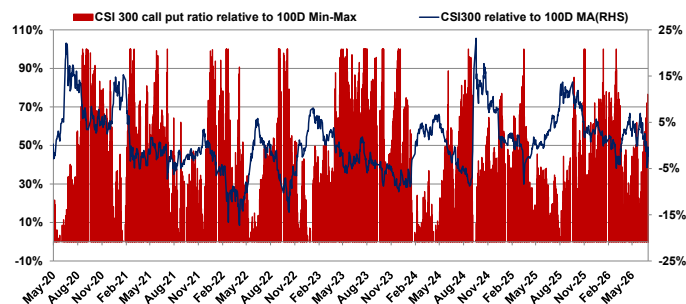
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 14: Foreign domiciled passive funds flows to CSI 300 (1mma) adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



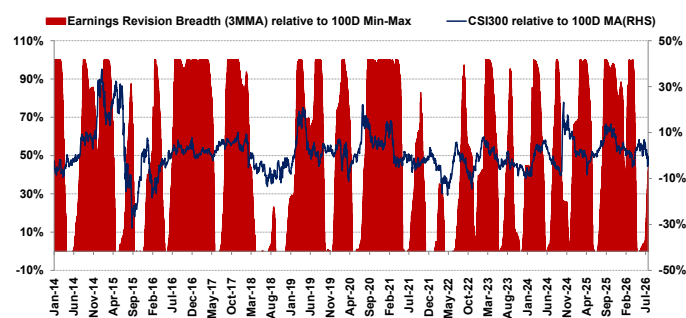
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 13: CSI 300 put-call ratio adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

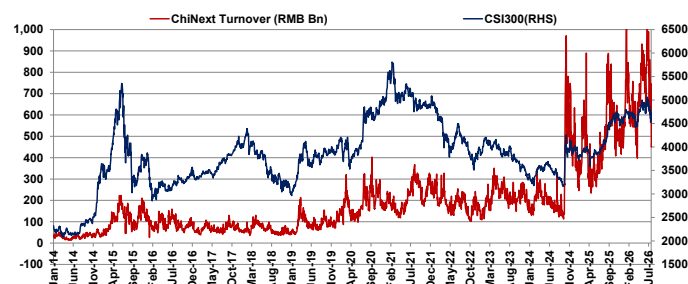
Exhibit 15: Shanghai A-share earnings estimate revision breadth (3mma) adjusted by moving 100D min-max (scaled to 0-100% based on the percentage away from its 100-day high and low levels) vs. CSI 300 relative to 100D MA



Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

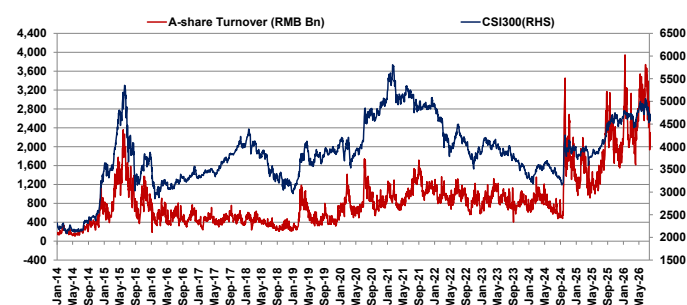
Appendix: A-share Market Data

Exhibit 16: ChiNext daily turnover (RMB bn) trend vs. CSI 300



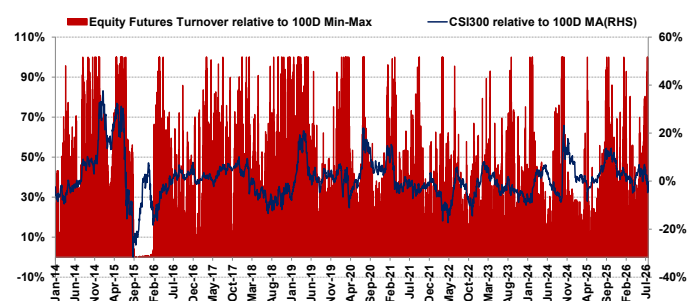
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 17: A-share daily turnover (RMB bn) trend vs. CSI 300



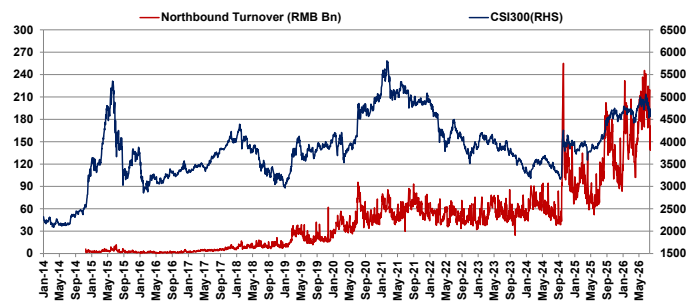
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 18: A-share equity futures turnover (RMB bn) trend vs. CSI 300



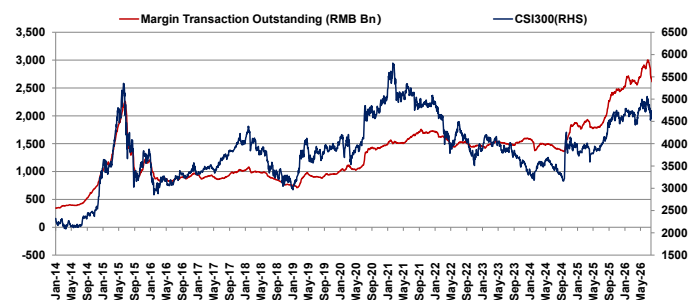
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 19: Northbound daily turnover (RMB bn) trend vs. CSI 300



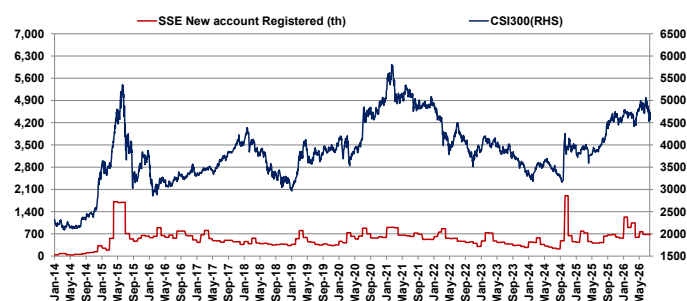
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 20: A-share margin financing vs. CSI 300

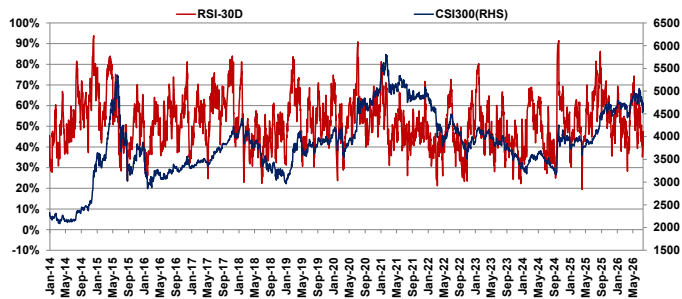


Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

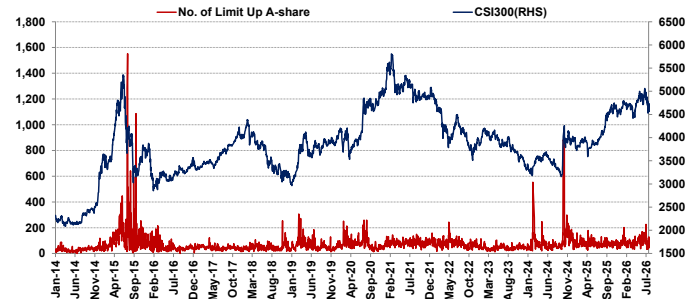
Exhibit 21: SSE new accounts registered (unit thousand) vs. CSI 300



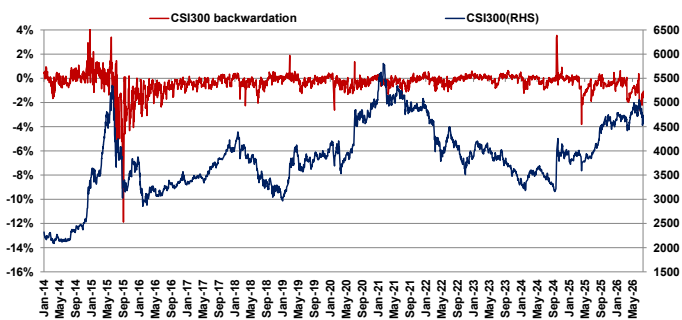
Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 22: RSI (30 days) vs. CSI 300

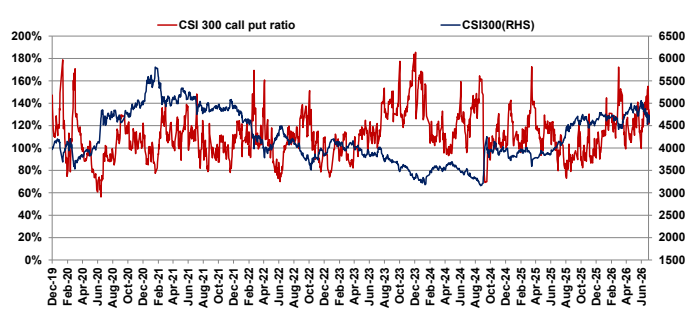
Source: Bloomberg, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 23: Number of A-shares trading at limit up vs. CSI 300

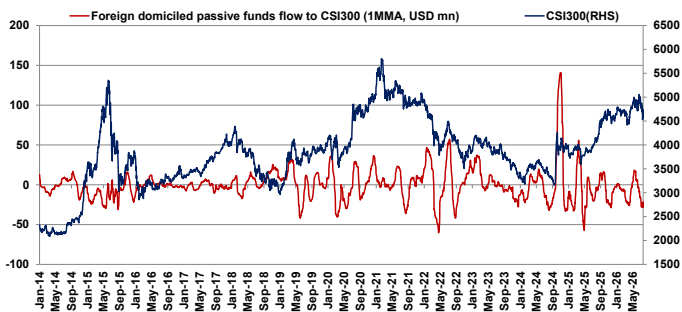
Source: Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 24: CSI 300 future backwardation vs. CSI 300

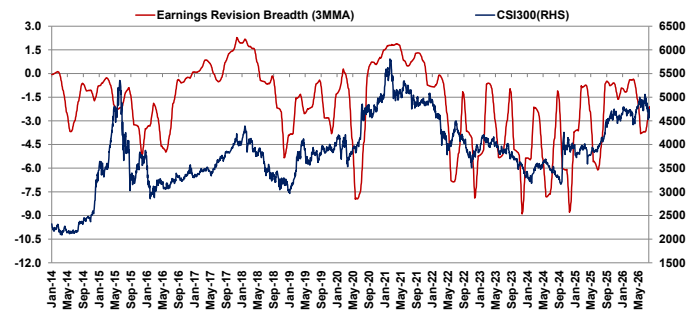
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 25: CSI 300 call put ratio vs. CSI 300

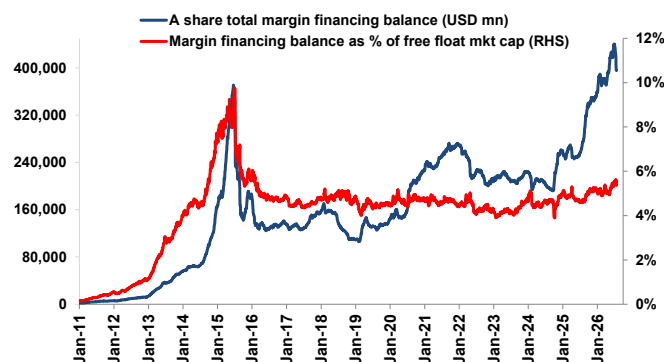
Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 26: Foreign domiciled passive funds flows (1mma, USDmn) to CSI 300 vs. CSI 300

Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 27: Shanghai A-share earnings estimate revision breadth (3mma) vs. CSI 300

Source: CEIC, Wind, Morgan Stanley Research. Data as of July 29, 2026.

Exhibit 28: A-share margin financing (USD mn)

Source: CEIC, Morgan Stanley Research. Note: Data as of July 29, 2026.

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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